On discretionary monetary expansion in a republic

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In this paper, I describe a simple method of discretionary monetary expansion in a republic. The paper ends with "The End"

Introduction

There comes a time when a republic of states needs to engage in discretionary monetary expansion. After all, every constituent state in a republic has different endowments including natural resources, different geopolitical considerations, different risk profiles and different political environments. In addition, payoffs need to be made after the **game of promises** is concluded in the political space.

In this paper, I describe a simple method of discretionary monetary expansion.

The stage for discretionary monetary expansion

We have a republic of n states each with different GDP G_i and growth rates g_i. The GDP-weighted growth rate given by

$$g = \frac{\sum_{i=1}^{n} G_i g_i}{\sum_{i=1}^{n} G_i}$$

is the best estimate of the growth rate of the republic.

The method

Suppose a rate k has been established by regression such that the money supplied to each state in the previous period $m_{i-1} = kT_{i-1}$ where T_{i-1} is the tax revenue collected in the previous period.

The method of discretionary monetary expansion works as follows:

We find a new rate $\bar{k}$ such that $m_i = \bar{k}(T_i + \delta_i)$ where δ_i is the discretionary adjustment for each state decided by governance.

Suppose $k = \bar{k} + \epsilon$

Then

$$m_i = (\bar{k} + \epsilon)T_i = \bar{k}(T_i + \delta_i)$$

Aggregating over all states, we get

$$k - \bar{k} = \epsilon = \bar{k}\frac{\sum_{i=1}^{n} \delta_i}{\sum_{i=1}^{n} T_i}$$

Thus

$$\bar{k} = \frac{k}{1 + \frac{\sum_{i=1}^{n} \delta_i}{\sum_{i=1}^{n} T_i}}$$

The economics of discretionary monetary expansion

The economics of discretionary monetary expansion is strategic in nature. States **lobby** for as high a discretionary adjustment as possible, but high δ_is result in a lower $\bar{k}$. Therefore, it is in the interest of each state to reach a **strategic equilibrium** regarding the value of the discretionary adjustment they negotiate.

The politics of discretionary monetary expansion

In practice, discretionary monetary expansion cannot be achieved without co-operation and understanding between governance in the states of the republic. Moreover, successful discretionary monetary expansion generally requires free access to labor markets in the states. This process allows for **coalition politics** to emerge, which is generally regarded as a healthy compromise between competition and collusion.

Conclusion

Discretionary monetary expansion is a mechanism such that the game of promises made with the states in a republic can be concluded. It is imperative to engage in discretionary monetary expansion whenever the **realpolitik** of the republic demands so.

The End